

## Israel has about 90 NASDAQ listed companies, Hong Kong 20-plus. Why the difference?

Let me answer this in three parts.

Security of mind. Firstly, you have to understand the Hong Kong model. Most people in Hong Kong came from South China, particularly from Guangdong. Some swam across. My dad, for example, came as a refugee as did many others. It was not an unusual story in the late 1940s and ‘50s – with political and social problems on the mainland it was the so-called, “I’ve-got-to-get-out-of-here” mentality. So people came and they were on their guard. There was only one university and you had to be top 1% to get in.

It was very much, “You’d better study hard – and don’t forget your uncles and aunties.” It was all about collaboration but it was also about security of mind, which demands conformism. The older generation would say, “Don’t think like that. We are in the grocery business, or the hotel business – that’s what we know.”

That kind of culture doesn’t really foster innovation, because there’s you and there were these Hongks. So the professionals gravitated towards the Hongks but the rest followed Mom and Pops and these family owned boutique enterprises, which have done remarkably well over the years. There’s no place I can think of that replicates these circumstances except countries in Southeast Asia. Security was of paramount importance in those times.

Conservatism. When you look at the numbers, about 93% of businesses are family owned enterprises, meaning owned, controlled or managed by families in Southeast Asia outside of Japan. That means many companies of all shapes and sizes are patriarchal in nature and style. The boss in some instances comes into the office on Fridays and signs a few cheques, says a few words, then heads off to the golf course. It reminds me of an experience with a main board public listed company. They invited me to sit on their corporate listed board.

They said, “Oh Brian, you’ve got a little bit of education, you look Chinese and you should sit on our

board, say a few words and take us out of the ice age.”

So I said, “Okay, let’s engage all of the board members.” It took about a week to interview separately each board director and appreciate them individually. After these interviews I was quite chuffed and thought, “Onto the next phase.”

But then after the interviews they said, “What are you doing Sunday? You must come for Dim Sum!” On that Sunday it was the matriarch of the company who sat at the head of the table. Among the questions she asked me were, “What year were you born? What time were you born? What is your Chinese Zodiac? Where did you get those ears?” without a single question about my education or professional experience. But she was the one who scrutinized all senior decisions about new board members. Finally, I was made to understand that she made the final decision. Granny evidently was not even mentioned in the annual report, but she was the one who actually makes the decision. Welcome to Asia!

International demand. The fragility of Hong Kong was exemplified by SARS. Never have I seen fear like the fear I witnessed among residents at this time, unless you were to go back to the Japanese invasion or something similar. If you coughed on a bus or a train you would immediately have a free seat beside you. There was deep paranoia at that time as Hong Kong citizens rushed to Australia and Canada and other places. During the SARS epidemic, hotels were made to innovate to drive and sustain business. Now you had five buffets a day in hotels instead of three. Companies and people, by necessity, took initiative to innovate.

But Hong Kong is still the gateway to China, even if Shanghai is coming up fast. So, if you wanted law and order, transparency and a legal system that protects, all these companies who want to come in, where do you go? There are only a few choices: Singapore or Hong Kong. Here in Hong Kong, we understand western culture is not new. You can get every kind of food and every kind of product and professional service, and where it matters everyone speaks English.



## 以色列約有90家企業在納斯達克上市，而香港僅有20多家。這是為甚麼？

讓我以三部分回答這問題。

第一是安全感。首先，我們須了解香港的模式。很多香港人祖籍華南地區，尤其是廣東，其中不少人當年是涉水渡河到香港的，家父即為當年眾多難民中的其中一名。由於中國大陸當時的政治及社會動盪——這在上世紀四五十年代很普遍，人們懷著破釜沉舟的心態來到香港，所以警惕心甚強。那時候，香港只有一所大學，能夠進入大學的，無不是名列前茅的精英。

那時候的想法是：「最好努力學習，且不要忘記還在中國大陸的親戚」。這是關乎合作和安全感的問題，故要求人們順從。老一輩總是說：「別作他想，我們經營的雜貨業或旅館業務，正是我們所能理解的。」

這樣的文化，是無助促進創新的。年輕專業人士要麼加入大集團工作，要麼繼承父母衣鉢經營小型家族企業；話說回來，這些小型家族企業多年來表現出色。類似香港這種環境，似乎只有東南亞地區。在動盪時期及過後，安全感總是最重要的考量因素。

第二是保守主義。統計數字顯示，東南亞地區（不包括日本）的企業中，有高達93%是家族企業，即企業有家族成員控制、掌管及管理。這意味著不少大小家族企業，都以家長式方法管理。不少老闆僅於週五踏進辦公室，簽了幾張支票、說了幾句話後，便離開辦公室前往爾夫球場了。這讓我回想起與某家上市公司的經歷：當時，這家上市公司曾邀請我加入其董事局。

他們對我說：「你讀過不少書，看上去又像華人。你

應該加入我們的董事局，說幾句話就可以引領我們走出冰河時代。」

我回答說：「好的，先讓我與所有董事局成員接觸吧。」如是這，我花了一個星期，逐一會見及了解董事局成員。會面過後，我滿心興奮的想：「我準備好下一個階段了。」

然而，他們過後問我：「週日你有甚麼節目嗎？跟我們一起到茶樓飲茶吧！」週日飲茶時，坐在主席位置的是企業老闆的母親。她問了我不少問題，其中包括「你是在哪裡出生的？」、「在甚麼時辰出生？」、「你的生肖是甚麼？」、「你的耳朵怎麼會這樣的呢？」云云，就是沒有一個問題跟我的專業經驗有關。這位老太太，是垂簾聽政審視董事局每一個重要決定的人。最後，我明白了——她是真正掌控權力的人。這位老太太的名字，沒有出現在年度報告中，卻是最終決策者。這就是亞洲！

第三是需要。香港的脆弱，在非典型肺炎事件中表露無遺。我從來沒看見過這樣的恐慌，是瀰漫在居民之間的一種恐慌；對上一次出現這樣的恐慌，可能要追溯至日本侵華時期了。如果你在巴士或列車上咳嗽，身邊的乘客肯定馬上遠離你。當時介乎歇斯底里的恐慌，導致不少香港居民跑到澳洲及加拿大等地。非典型肺炎肆虐時，酒店被迫創新以繼續生存——房客在酒店裡可享用5頓而不是3頓自助餐。時世所迫，企業及個人要繼續生存，就須創新。

儘管上海迅速冒起，但香港仍然是通往中國的門戶。如果你要的是法治、秩序、透明度，以及保護企業的法律制度，那只有兩個選擇——新加坡及香港。在香港，我們對西方文化並不陌生；在那裡，你可以找到各類食品、產品及專業服務，而且所有人基本上都會說英語。